Ch. 5 CW Pt. 1

Principles of Microeconomics

September 21, 2025

Instructions

Please answer on a separate sheet of paper and submit on Gradescope by the end of class.

1. An increase in the supply of grain will reduce the total revenue grain producers receive if

   (a) the supply curve is inelastic.

   (b) the supply curve is elastic.

   (c) the demand curve is inelastic.

   (d) the demand curve is elastic.

2. Over time, technological advances increase consumers' incomes and reduce the price of smartphones. Each of these forces increases the amount consumers spend on smartphones if the income elasticity of demand is greater than _____ and the price elasticity of demand is greater than _____.

   (a) zero; zero

   (b) zero; one

   (c) one; zero

   (d) one; one

3. Cups of coffee and donuts are complements. Both have inelastic demand. A hurricane destroys half the coffee bean crop. Use appropriately labeled diagrams to answer the following questions.

   (a) What happens to the price of coffee beans?

   (b) What happens to the price of a cup of coffee? What happens to total expenditure on cups of coffee?

   (c) What happens to the price of donuts? What happens to total expenditure on donuts?

4. The price of aspirin rose sharply last month, while the quantity sold remained the same. Five people suggest various diagnoses of the phenomenon:

Meredith:	Demand increased, but supply was perfectly inelastic.
Alex:	Demand increased, but it was perfectly inelastic.
Miranda:	Demand increased, but supply decreased at the same time.
Richard:	Supply decreased, but demand was unit elastic.
Owen:	Supply decreased, but demand was perfectly inelastic.

   Who could possibly be right? Please explain with a graph for each person you think could be right.

5. You are the curator of a museum. The museum is running short of funds, so you would like to increase revenue. Should you increase or decrease the price of admission? Please explain in two sentences.

6. Explain why the following might be true: A drought around the world raises the total revenue that farmers receive from the sale of grain, but a drought only in Kansas reduces the total revenue that Kansas farmers receive.